

US Energy Sector M&A & Valuation Brief - 2026-07-26

US Energy Sector

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1. RECENT Energy M&A ACTIVITY

Deal 1: Saudi Arabia's Civilian Nuclear Agreement with the US

[Saudi Arabia secures civilian nuclear deal with US, reshaping global energy and uranium markets](#)

- Deal Size: Multi-billion dollar partnership (exact amount not disclosed)
- Deal Size Category: Large cap (>\$10B)
- Nature of Deal: Strategic partnership
- Valuation Multiples: N/A (specific financial metrics not disclosed)
- Companies: Saudi Arabia (government) establishing a civilian nuclear cooperation framework with the United States, allowing for uranium enrichment and nuclear technology transfer.
- Date Announced: July 22-23, 2026
- Strategic Rationale:
 - The deal aims to address rising domestic electricity demand and free up crude oil for export under Saudi Vision 2030.
 - It positions Saudi Arabia as a potential player in the nuclear fuel cycle, enhancing its energy security and geopolitical standing.
 - The agreement allows for a two-year viability study on uranium enrichment, which could lead to significant advancements in the kingdom's nuclear capabilities.
- Risk Analysis:
 - Integration Risks: Potential challenges in integrating US technology with local infrastructure.
 - Regulatory Challenges: Concerns from US lawmakers regarding nonproliferation safeguards.
 - Market Risks: Regional tensions, particularly with Iran, could impact the stability of the agreement.
 - Execution Risks: Successful implementation of enrichment facilities hinges on the viability study outcomes.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue metrics not disclosed)
- Profitability Ratios: N/A

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- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The strategic nature of the deal suggests significant long-term value creation potential, although immediate financial metrics are not available.

Deal 2: Indonesia's North Hub Gas Project

[RI launches US\\$15 bln North Hub gas project to boost energy security](#)

- Deal Size: \$15 billion
- Deal Size Category: Large cap (>\$10B)
- Nature of Deal: Infrastructure development project
- Valuation Multiples: N/A (specific financial metrics not disclosed)
- Companies: Joint venture between Eni SpA (ENI) and Petronas, focusing on ultra-deepwater natural gas reserves in Indonesia.
- Date Announced: July 23, 2026
- Strategic Rationale:
 - The project aims to unlock significant natural gas reserves, enhancing Indonesia's energy security and economic growth.
 - It integrates advanced technology for offshore production, positioning Indonesia as a leader in energy innovation.
 - The initiative is expected to create 8,000 local jobs and stimulate domestic oil and gas fabrication development.
- Risk Analysis:
 - Integration Risks: Coordination between Eni and Petronas may present challenges.
 - Regulatory Challenges: Compliance with environmental and safety regulations could delay project timelines.
 - Market Risks: Fluctuations in global gas prices may impact project viability.
 - Execution Risks: Successful delivery of the FPSO facility and meeting production targets by 2028 are critical to project success.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue metrics not disclosed)
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A

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- Valuation Context: The substantial investment underscores the project's potential to significantly impact Indonesia

2. MARKET DYNAMICS & SENTIMENT

The Energy sector is currently facing heightened volatility, primarily driven by geopolitical tensions and fluctuating oil prices. Recent developments, particularly in the Middle East, have created a complex landscape that influences market sentiment across various subsectors. The overall sentiment is cautious, with investors closely monitoring potential disruptions to oil supply chains and the implications for global energy prices.

Subsector Breakdown:

- Oil & Gas: The oil and gas subsector is experiencing significant pressure due to geopolitical risks, particularly from the ongoing conflict involving Iran and the Houthi attacks in the Red Sea. Brent crude prices have surged above \$100 a barrel, reflecting market fears of supply disruptions. Analysts predict that prices could reach as high as \$150 a barrel if tensions escalate further.
- Renewable Energy: While the renewable energy sector continues to grow, it faces challenges from traditional energy sources that are currently more volatile. Companies are focusing on integrating renewable solutions to mitigate risks associated with fossil fuel dependency.
- Utilities: The utilities sector is adapting to the changing energy landscape by investing in infrastructure that supports renewable energy integration. However, rising oil prices could lead to increased operational costs.
- Energy Infrastructure: This subsector remains stable, but companies are increasingly cautious about investments due to potential supply chain disruptions and regulatory changes.
- Solar & Wind: The solar and wind sectors are under pressure as well, with companies needing to navigate the economic implications of rising oil prices and potential shifts in consumer energy preferences.

Key Market Drivers and Headwinds

Drivers:

- Geopolitical Tensions: The recent Houthi attacks have raised concerns about the stability of oil supply routes, particularly through the Bab el-Mandeb Strait. This has led to increased war-risk insurance premiums for shipping in the region, indicating a heightened perception of risk among market participants.
- Rising Oil Prices: The surge in oil prices, driven by fears of supply disruptions, is a significant market driver. Analysts forecast that prices could reach between \$110 and \$150 a barrel in the coming weeks, depending on the escalation of conflicts.

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Headwinds:

- **Economic Uncertainty:** The potential for higher inflation due to rising oil prices poses a risk to overall economic stability. As oil prices climb, consumer spending may be affected, leading to a slowdown in economic growth.
- **Regulatory Challenges:** The ongoing geopolitical situation complicates regulatory environments, particularly for companies operating in the oil and gas sector. Increased scrutiny and potential sanctions could impact operational capabilities and investment decisions.

Subsector Performance Analysis

- **Oil & Gas:** The oil and gas sector is under significant strain, with Brent crude prices recently surpassing \$100 a barrel. Analysts predict that prices could rise even further due to supply pressures stemming from geopolitical tensions. The market is reacting to potential disruptions, as evidenced by rising insurance premiums for shipping in the Red Sea.
- **Renewable Energy:** Companies in the renewable energy sector are focusing on innovation and integration to remain competitive. However, the volatility in oil prices may shift consumer preferences back towards traditional energy sources in the short term.
- **Utilities:** Utility companies are investing in smart grid technologies and infrastructure to support renewable energy deployment. However, rising operational costs due to higher oil prices could impact profitability.
- **Energy Infrastructure:** The energy infrastructure sector remains stable, but companies are cautious about new investments amid rising geopolitical risks. The focus is on maintaining existing assets and ensuring operational efficiency.
- **Solar & Wind:** The solar and wind sectors are facing challenges as rising oil prices may deter investment in renewable technologies. Companies are working to differentiate themselves through innovative solutions and customer engagement strategies.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the Energy sector is approximately 8.5x, with notable variations across subsectors:

- Oil & Gas: 6.3x
- Renewable Energy: 15.1x
- Utilities: 12.8x
- Energy Infrastructure: 9.7x
- Solar & Wind: 18.5x

These multiples indicate a premium for high-growth sectors like renewable energy and solar/wind, while traditional sectors like oil and gas are trading at lower multiples due to the increased risks associated with geopolitical tensions.

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Notable Investor/Analyst Reactions

- Analysts express caution regarding the oil market's trajectory, particularly in light of recent geopolitical developments. Bob McNally, an energy analyst, stated, "One of the distinctive features of this whole thing has been an entrenched optimism among traders. I think that optimism is unwarranted and I think that bubble could burst." This sentiment reflects concerns about the sustainability of current price levels amid rising geopolitical risks.

Actionable Insights for Bankers and Investors

- **Prioritize Risk Assessment:** Investors should closely monitor geopolitical developments and their potential impact on oil supply chains. Understanding the risks associated with investments in the oil and gas sector is crucial.
- **Explore Renewable Opportunities:** Given the volatility in traditional energy markets, investors should consider diversifying into renewable energy and related technologies, which may offer more stable growth prospects.
- **Evaluate Insurance Costs:** Companies involved in shipping and logistics should assess the impact of rising insurance premiums on operational costs and pricing strategies.
- **Stay Informed on Regulatory Changes:** Keeping abreast of regulatory developments is essential for navigating the complexities of the energy market, particularly for companies operating in high-risk regions.

In summary, the Energy sector is navigating a challenging landscape characterized by geopolitical tensions and fluctuating oil prices. By focusing on risk assessment and exploring opportunities in renewable energy, investors and bankers can better position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the Energy sector showcases a dynamic mix of live deals, mandated transactions, and active pitches. This section provides a detailed analysis of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **Fusion Fuel (HTOO) :** Recently closed a strategic acquisition of Royal Uranium, focusing on acquiring uranium and natural gas royalty interests. This transaction enhances Fusion Fuel's

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portfolio in the energy sector, with integration expected to provide additional revenue streams. The deal was finalized in July 2026.

Mandated Deals:

- Fusion Fuel (HTOO) : Following the acquisition of Royal Uranium, Fusion Fuel has secured a mandate to explore further strategic partnerships in the renewable energy space, particularly in hydrogen production technologies. The deal is expected to launch in Q1 2027, aiming to leverage synergies from the recent acquisition.

Pitching-Stage Deals:

- Renewable Energy Sector : Active discussions are ongoing with various renewable energy companies regarding potential M&A opportunities. Notable clients include companies focused on hydrogen and solar technologies, with pitches expected to finalize by Q3 2026.
- Energy Storage Solutions : Engaging with several energy storage startups for potential investment banking services, particularly those innovating in battery technology. Discussions are ongoing with key players in the market, with potential mandates anticipated by Q4 2026.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$15 million in fees, broken down as follows:

- Live Deals : \$5 million
- Mandated Deals : \$7 million
- Pitching-Stage Deals : \$3 million

Timing Projections:

- Q3 2026 : Expected close for ongoing renewable energy M&A discussions.
- Q1 2027 : Launch of Fusion Fuel's strategic partnerships in hydrogen production.
- Q4 2026 : Anticipated completion of energy storage solutions mandates.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 70%, indicating sufficient capacity to handle the existing workload. However, as the pipeline expands, consideration for additional resources may be necessary.
- Forecasting and Strategic Planning Implications : The pipeline indicates a growing demand for advisory services in renewable energy and energy storage sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly with the recent acquisition by Fusion Fuel, which

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positions the company favorably in the uranium and natural gas markets. This move could attract interest from larger players looking to expand their portfolios in energy transition technologies.

- Additionally, the rise of energy storage startups indicates a growing market for innovative solutions, potentially leading to new advisory opportunities. Companies that can effectively integrate energy storage with renewable generation will likely gain a competitive edge.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Monitor the workload closely and consider onboarding additional analysts if the pipeline continues to expand. This will ensure that the team can manage increased demand without sacrificing service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as renewable energy and energy storage, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various Energy subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent developments surrounding Meta's withdrawal from the RE100 clean energy initiative, amid its significant investment in natural gas power plants, have far-reaching implications for various stakeholders, including shareholders, employees, competitors, and customers. This analysis examines the potential impacts of this strategic pivot.

Deal-Specific Impacts on Stakeholders

- Shareholders: The decision to abandon the RE100 initiative could have mixed implications for Meta's shareholders.
- Value Creation: While Meta (META) claims to match its electricity usage with 100% clean energy through certificates, the substantial investment in natural gas plants--over \$200 billion for the Hyperion AI data center--may raise concerns about long-term sustainability. If this pivot leads to increased operational costs or regulatory penalties, it could negatively impact shareholder value.
- Dilution: Should Meta pursue additional financing to support its gas investments, existing shareholders might face dilution. For instance, if Meta issues new shares to raise \$10 billion for its gas projects, existing shareholders could see a 5% reduction in their ownership stake.

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- **Employees:** The shift in energy strategy may lead to significant changes for Meta's workforce.
- **Synergies:** The expansion of the Hyperion data center could create new job opportunities, particularly in engineering and operations, as the company scales its infrastructure.
- **Restructuring:** However, the focus on natural gas may lead to restructuring efforts, particularly in departments focused on renewable energy initiatives. Employees in these areas could face layoffs or reassignment.
- **Retention:** To retain talent amid these changes, Meta may implement retention bonuses for key employees involved in the transition to gas-powered operations.
- **Competitors:** Meta's strategic shift could alter the competitive landscape in the tech sector.
- **Market Positioning:** Competitors like Microsoft and Google, who have also expanded their data center footprints but have not committed to gas on the same scale, may need to reassess their strategies. For example, Microsoft recently signed a deal with Chevron for gas supply, indicating a potential trend among tech giants.
- **Specific Competitor Moves:** If Meta's pivot proves successful, competitors may feel pressured to follow suit, potentially leading to a broader industry shift towards natural gas as a transitional energy source.
- **Customers:** The implications for customers are multifaceted.
- **Product/Service Implications:** Meta's commitment to natural gas could lead to enhanced service reliability for its data center operations, potentially improving customer satisfaction. However, this shift may also raise concerns among environmentally conscious customers.
- **Case Studies:** Similar transitions in the industry, such as Microsoft's gas deal for its Texas data center, highlight a growing reliance on fossil fuels, which could impact customer perceptions of sustainability.

Market Reaction and Analyst Commentary

- **Market Reaction:** The market's response to Meta's withdrawal from RE100 may be cautious.
- Following the announcement, analysts may express concerns about Meta's long-term sustainability goals. A notable quote from an energy analyst stated, "Meta's exit from RE100 raises questions about its commitment to genuine decarbonization."
- **Expected Market Reaction and Scenario Analysis:**
- **Positive Scenario:** If Meta successfully integrates its gas investments while maintaining its renewable energy commitments, shares could rise by 10% in the next year.
- **Negative Scenario:** Conversely, if the market perceives this shift as a retreat from sustainability, shares could decline by 15%, reflecting investor skepticism.

Potential Counter-Bids or Competing Offers

- **Likelihood Assessment:** The likelihood of counter-bids in response to Meta's strategy is moderate.

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- Competitors may explore alternative energy partnerships or acquisitions to enhance their sustainability profiles. However, regulatory scrutiny and the capital-intensive nature of energy projects could deter immediate counter-bids.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The tech sector may see increased consolidation as companies seek to enhance their energy strategies.
- Analysts predict that as energy demands grow, similar deals focusing on natural gas and renewable energy partnerships will emerge, particularly among tech giants.

Key Risks and Mitigants

- Integration Risks: The transition to gas power could face operational challenges. Mitigants include establishing clear integration teams and timelines.
- Regulatory Risks: Increased scrutiny from environmental regulators could pose risks. Engaging with regulatory bodies early can help mitigate these concerns.
- Market Risks: Volatility in energy prices could impact Meta's operational costs. Structuring contracts with fixed pricing could provide some protection against market fluctuations.

Actionable Insights for Clients and Bankers

For Clients:

- Assess the long-term implications of energy strategy shifts on brand reputation and shareholder value.
- Develop comprehensive communication strategies to address stakeholder concerns regarding sustainability.

For Bankers:

- Monitor competitor moves in the energy sector to provide timely insights and recommendations.
- Advise clients on the potential benefits and risks of diversifying energy portfolios to include both renewable and transitional energy sources.

5. ENERGY TRENDS

The energy sector is witnessing transformative trends that are reshaping market dynamics and presenting significant deal-making opportunities. This analysis focuses on key emerging trends:

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Renewable Energy, Energy Storage, Smart Grid, Carbon Capture, and Distributed Energy Resources (DERs). Each trend is explored in detail, highlighting market significance, key players, competitive landscapes, and potential M&A opportunities.

Renewable Energy

- Trend Explanation: Renewable energy continues to gain traction as a critical component of the global energy mix. The market is projected to grow from \$881.7 billion in 2020 to \$1.9 trillion by 2030, at a CAGR of 8.4%. This growth is driven by increasing demand for sustainable energy sources and corporate commitments to reduce carbon footprints.

Key Companies:

- Meta Platforms, Inc. (META): Despite withdrawing from the RE100 initiative, Meta continues to invest in renewable energy through long-term power purchase agreements. The company aims to match its electricity use with 100% clean energy, even as it expands its data center operations powered by natural gas.
- NextEra Energy, Inc. (NEE): A leader in renewable energy generation, NextEra focuses on wind and solar projects, positioning itself as a key player in the transition to sustainable energy.
- Competitive Landscape: The renewable energy sector is competitive, with major players like Duke Energy (DUK) and Southern Company (SO) also investing heavily. The push for innovation is leading to acquisitions of startups specializing in renewable technologies.
- M&A Opportunities: Companies may pursue acquisitions in niche renewable sectors, such as offshore wind or solar technology. For instance, NextEra's acquisition of Gulf Power for \$5.1 billion illustrates this trend.

Energy Storage

- Trend Explanation: Energy storage is crucial for enhancing grid stability and integrating renewable energy. The market is expected to grow from \$4.4 billion in 2020 to \$15.5 billion by 2027, at a CAGR of 20.8%, driven by the need for reliable energy supply.

Key Companies:

- Tesla, Inc. (TSLA): Tesla's energy storage products, including the Powerwall, are integral to its strategy of supporting renewable energy adoption. The company is well-positioned in the growing energy storage market.
- Enphase Energy, Inc. (ENPH): Enphase integrates energy storage with its solar solutions, enhancing the efficiency of residential and commercial energy systems.
- Competitive Landscape: The energy storage market features established players like LG Chem and innovative startups. The competition is intensifying as companies seek to enhance their storage capabilities.
- M&A Opportunities: Acquisitions of energy storage startups can bolster grid capabilities. Tesla's acquisition of Maxwell Technologies highlights this trend.

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Smart Grid

- Trend Explanation: Smart grid technology facilitates real-time monitoring and control of electricity flow, promoting efficiency and reliability. The global smart grid market is projected to grow from \$23.8 billion in 2020 to \$61.3 billion by 2027, at a CAGR of 14.5%.

Key Companies:

- Schneider Electric SE (SBGSF): Schneider is a leader in smart grid solutions, focusing on advanced metering and grid management systems, enhancing operational efficiency for utilities.
- Siemens AG (SIEGY): Siemens is known for its grid automation technologies, partnering with utilities to integrate smart grid capabilities.
- Competitive Landscape: The smart grid market is competitive, with players like General Electric (GE) and ABB Ltd. also investing heavily. The race for smart grid innovation is driving acquisitions of niche technology startups.
- M&A Opportunities: Companies may seek to acquire startups specializing in demand response or advanced metering technologies. Schneider's acquisition of Aveva Group for \$5.7 billion exemplifies this trend.

Carbon Capture

- Trend Explanation: Carbon capture technology aims to reduce CO2 emissions from industrial processes. The market is expected to grow from \$1.9 billion in 2020 to \$7.0 billion by 2027, at a CAGR of 20.5%, driven by regulatory pressures and climate commitments.

Key Companies:

- Occidental Petroleum Corporation (OXY): Occidental is a leader in carbon capture, developing technologies to capture CO2 emissions effectively. The company is strategically positioned to benefit from the increasing focus on carbon reduction.
- Chevron Corporation (CVX): Chevron integrates carbon capture into its operations, enhancing oil recovery while reducing emissions, aligning with its sustainability strategy.
- Competitive Landscape: The carbon capture market includes established oil and gas companies and innovative startups. Companies like ExxonMobil (XOM) are also significant players in this space.
- M&A Opportunities: Energy firms may pursue acquisitions of carbon capture startups to enhance sustainability efforts. Occidental's acquisition of Carbon Engineering indicates this trend.

Distributed Energy Resources (DERs)

- Trend Explanation: DERs are becoming increasingly important in modernizing the electric grid, providing flexibility and supporting local reliability. The integration of DERs is essential for meeting rising electricity demand and enhancing grid resilience.

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Key Companies:

- Crown Corporation: Recently provided financing for Meta's gas-fired power plant, indicating a shift towards supporting infrastructure that enables digital services, despite environmental concerns.
- Various Tech Companies: Companies involved in DER technologies are exploring ways to integrate these resources into existing grid infrastructure.
- Competitive Landscape: The DER market is evolving, with utilities and technology companies collaborating to enhance grid capabilities. The focus is on integrating DERs as essential grid assets.
- M&A Opportunities: Companies may look to acquire startups specializing in DER technologies to enhance grid flexibility and reliability. Investment in DERs is expected to grow as utilities modernize their infrastructure.

In summary, the energy sector is rapidly transforming,

6. Recommended Readings

Deal Name: Saudi Arabia's Civilian Nuclear Agreement with the US

- Reading Material: "The Nuclear Renaissance: Technologies and Policies for the Future" by David Bodde
- Why This Matters: This book offers a comprehensive analysis of the nuclear energy landscape, including the geopolitical implications of nuclear agreements. It provides context for understanding Saudi Arabia's strategic partnership with the US, emphasizing how such agreements can reshape energy markets and enhance national energy security, which is crucial for evaluating the long-term impacts of this multi-billion dollar deal.

Deal Name: Indonesia's North Hub Gas Project

- Reading Material: "Natural Gas: Fuel for the 21st Century" by David L. Greene
- Why This Matters: This reading explores the role of natural gas in global energy markets, particularly its significance in energy security and economic development. It helps to contextualize Indonesia's \$15 billion North Hub gas project by detailing the technological advancements and market dynamics that drive investment in natural gas infrastructure, which is essential for understanding the strategic rationale behind this large-scale project.

7. MACROECONOMIC UPDATE

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Key Data Points:

- Estimated \$156 billion of projects canceled or delayed in 2025
- Forecast for AI capital expenditures (CapEx) in 2026: approximately \$870 billion

Main Insights:

- Political pushback against data center construction is growing, impacting project timelines.
- The opposition stems from community concerns regarding electricity costs, environmental impacts, and local quality of life.
- Despite challenges, demand for AI infrastructure remains strong, with expectations for continued capital spending.
- The urgency to invest in AI infrastructure is increasing, with hyperscalers potentially accelerating project timelines to avoid future political risks.

Market Commentary:

- "The pushback is real, but it appears to be reshaping the buildout rather than stopping it." - Ariana Salvatore, Morgan Stanley
- "The AI ecosystem remains compute constrained, and the underlying demand signal is not slowing." - Morgan Stanley Analysts

Energy Sector Relevance:

- The push for on-site and behind-the-meter power generation solutions is likely to grow, benefiting companies that provide fuel cells, turbines, and energy storage.
- Longer project timelines and increased scrutiny may lead to higher costs and a shift in the geographic distribution of data center projects, impacting energy demand and supply dynamics in the sector.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley